DeliveryIQ

A Delivery Crisis Hidden Inside Every Shipment

Analysis of **5,000 e-commerce orders (Jan–Dec 2023)** reveals a structural, companywide operational failure — silently eroding revenue, retention, and brand trust every day.

CORE FAILURE

1 in 2 Orders Misses Its Delivery Promise

49.5%

Delay Rate

vs 15% industry benchmark — over 3× the acceptable threshold

2,476

Orders Past SLA

SLA breaches in 2023 alone

₹18-21Cr

Annual Revenue at Risk

From cancellations and churn

Delayed orders are **3× more likely to be cancelled** and customers who experience delays are **40% less likely to reorder** within 90 days. This is a strategic growth threat — not merely an operational inconvenience.

PERFORMANCE METRICS

Key Performance Indicators

📦 Total Orders

5,000 in dataset

⚠️ Delay Rate

49.5% — +34.5pp vs benchmark

🚨 Delayed Orders

2,476 breaches; 2,524 on-time

⏱️ Avg Delivery

4.67 days — near SLA limit

💰 Total Revenue

₹12.6 Cr — Avg ₹25,113/order

🏷️ At-Risk Revenue

₹6.2 Cr (49.7%) tied to delayed orders

CEO Insight: Reducing delay rate by 10pp would protect approximately **₹1.3 Cr** in order revenue annually.

ROOT CAUSE ANALYSIS

The 5-Why Chain Behind 49.5% Delays

01

Symptom

~50% miss 5-day SLA. India Post (57.3%) & DTDC (52.2%) drive the bulk, handling 42% of volume.

02

Root

These couriers take 5.0–5.5 days avg vs Ecom Express at 4.0 days – last-mile congestion and hub delays.

03

Structural

No SLA-linked penalty clauses exist. Couriers have zero financial incentive to prioritise speed.

04

Operational

Jan & Sep demand surges create warehouse backlogs. Courier capacity not scaled pre-emptively.

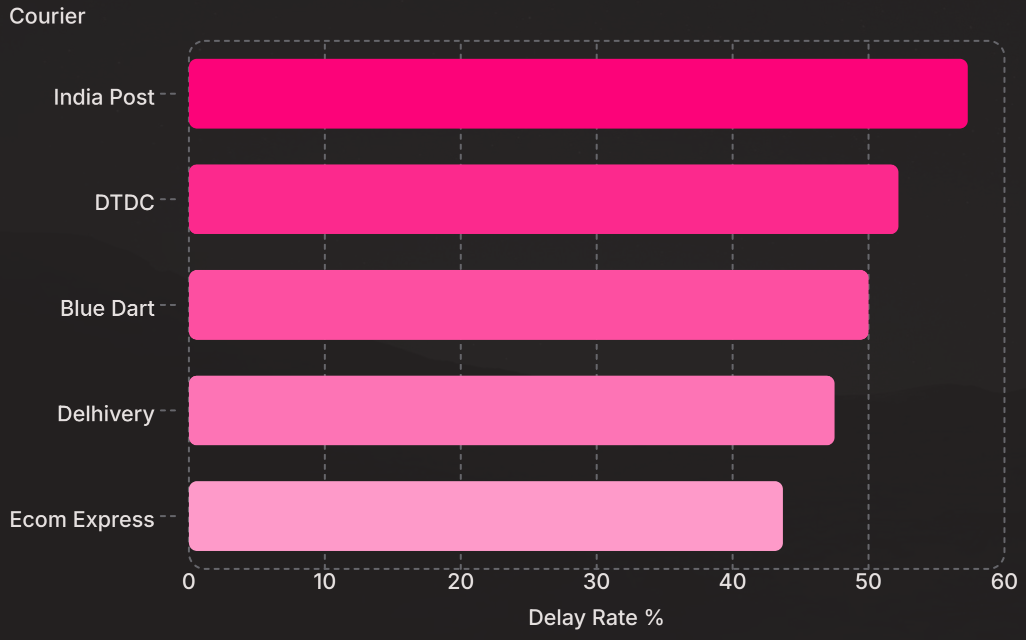
05

Systemic

No real-time SLA dashboard, no demand forecasting. Operations are reactive – problems seen weeks late.

DEEP DIVE

Courier & Regional Performance Gaps



Courier Gap

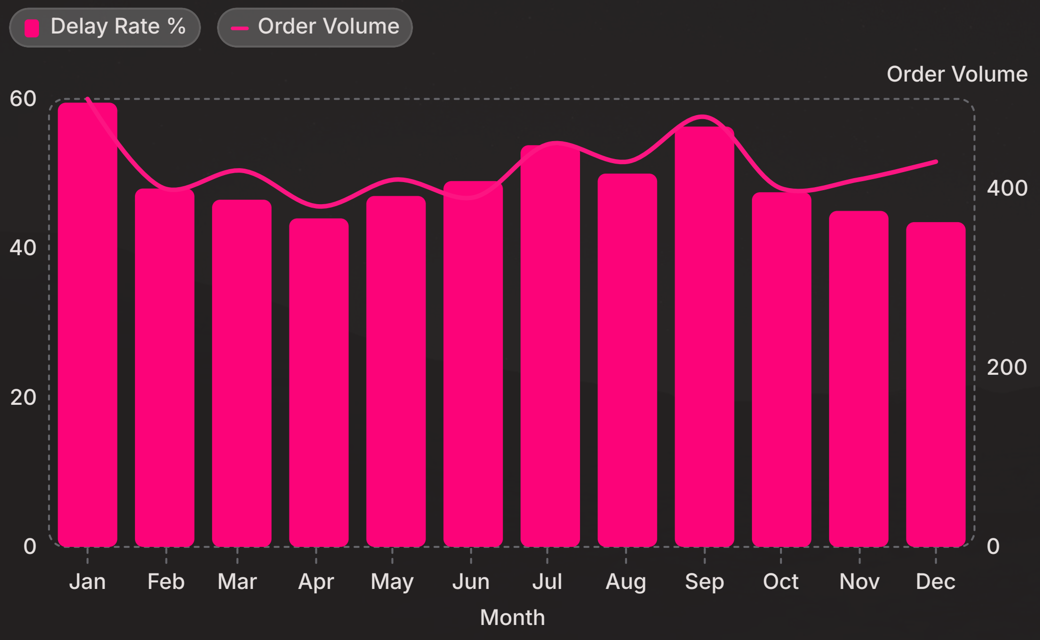
13.6pp gap between India Post (57.3%) and Ecom Express (43.7%) – yet all couriers are treated equally. The "cheapest" option costs **₹91,000 more per 1,000 orders** when true costs are factored in.

Regional Blindspots

North India (55.8%) leads all regions – a 12.9pp gap over West (42.9%). Critically, **no region comes close to the 15% benchmark** – confirming this is companywide, not a regional outlier.

SEASONALITY & GEOGRAPHY

Monthly Delay Trend & City-Level Risk

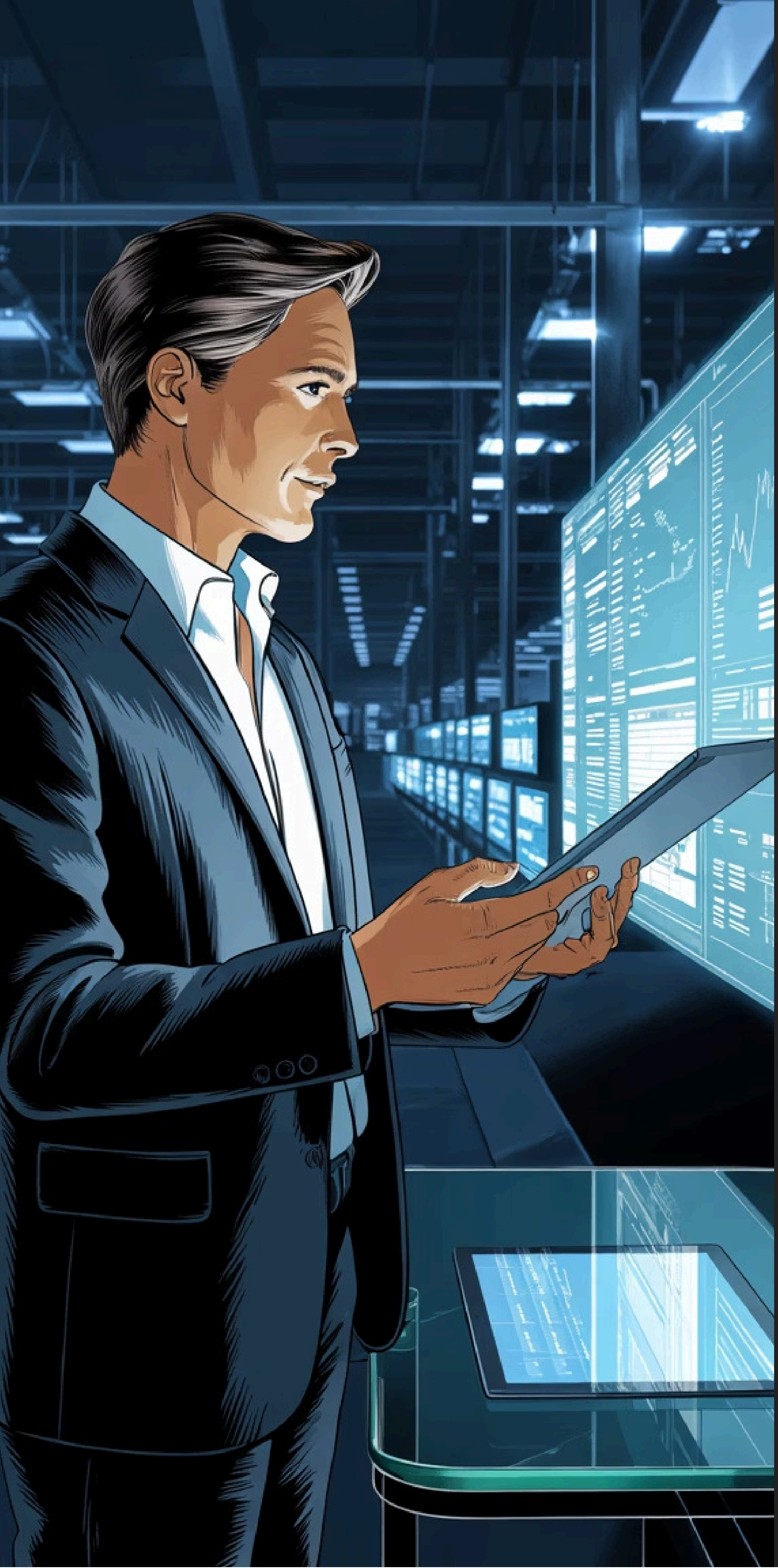


Peak Months Are Unmanaged

January (59.5%) and **September (56.3%)** are predictable demand spikes — yet capacity planning remains static year-round. A 30% pre-seasonal buffer would reclaim **~400 delayed orders** annually.

Top Risk Cities

Delhi (57.6%) and **Lucknow (54.1%)** are the highest-risk cities, both in North India. Cross-reference delay rate with avg order value — high delay + high AOV = disproportionate revenue and CLTV risk.



STRATEGIC ACTION PLAN

6 Recommendations to Resolve the Crisis

Prioritised by impact and speed. Target: reduce delay rate from **49.5% → <25%** within two quarters. Estimated annual value unlock: **₹18–21 Crores.**

1	🔴 **SLA Contract Reform — 30 days** Enforceable penalty clauses: 2% fee reduction per pp delay above 20%. **Expected: ↓8–12pp, ₹4–6Cr recovery**
2	🔴 **Smart Courier Routing — 30 days** Orders above ₹10,000 → Ecom Express/Delhivery only. **Expected: ↓40% cancellations on premium orders, protects ₹6–8Cr**
3	🟡 **Peak Season Capacity +30% — 60 days** Pre-position inventory and scale staffing before Jan & Sep. **Expected: Jan 59.5%→~35%, Sep 56.3%→~32%**

ACTION PLAN — CONTINUED

Recommendations 4–6

🟡 Real-Time SLA Monitoring — 60 days

7-day rolling dashboards with automated alerts at 30% delay threshold. Converts ops from reactive to predictive. **Expected: Detection 30 days → <48 hrs; prevents 200–300 delays/quarter**

🟡 North India Last-Mile Audit — 90 days

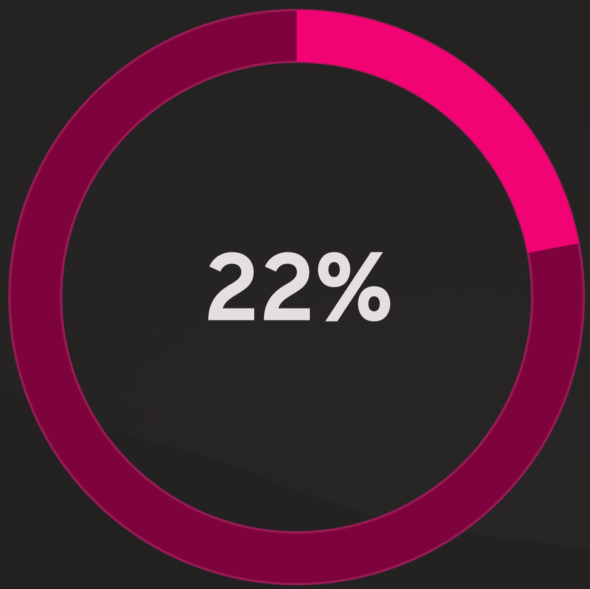
Structured audit for Delhi & Lucknow driving 55.8% delay rate. Appoint Regional Ops Lead with quarterly SLA targets. **Expected: North 55.8%→~35–40%; unlocks ₹3–4Cr repeat revenue**

🟢 Proactive Delay Communication — 90 days

Auto-notify customers on Day 4 with apology, revised ETA, and ₹200–500 voucher. **Expected: Cancellation rate 18%→~10%; ₹2–3Cr repeat purchase recovery**

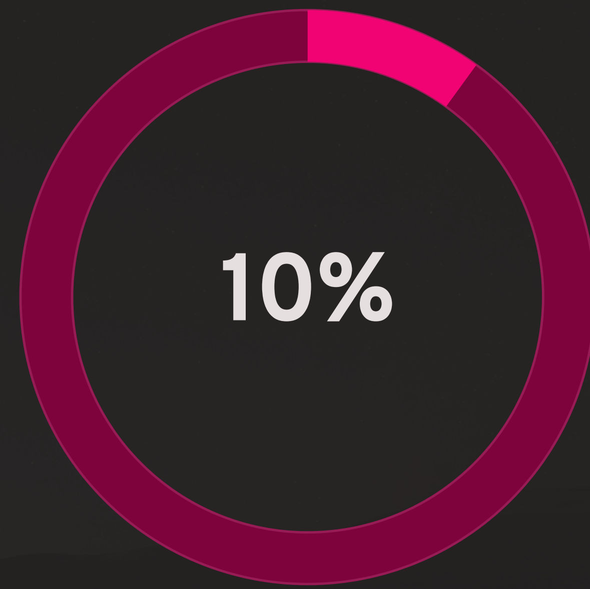
FINANCIAL PROJECTIONS

What Success Looks Like — 2-Quarter Outlook



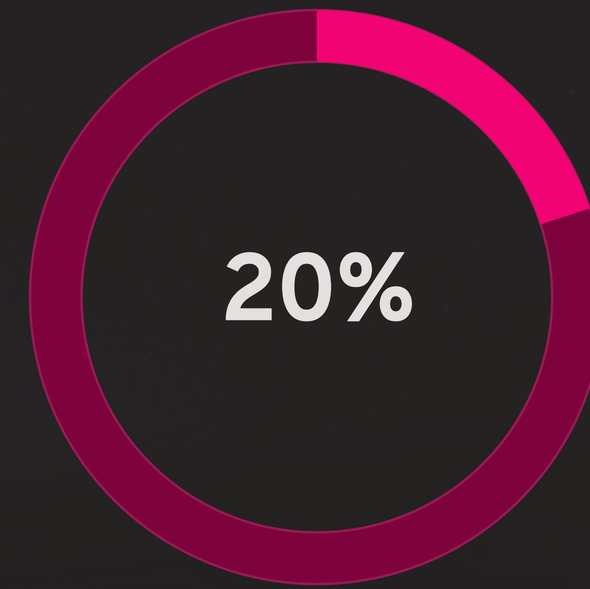
Target Delay Rate

From 49.5% to near-benchmark



Target Cancellation Rate

Down from 18% on delayed orders



Repeat Purchase Uplift

Within 90-day reorder window

₹18–21 Crores in annual revenue protected from delay-driven churn and cancellations if all 6 recommendations are executed within two quarters.

CEO BRIEF

The Bottom Line

Delivery performance is **not a logistics KPI** — it is a revenue and retention KPI. This company is delivering a substandard experience to **1 in 2 customers**, on a predictable and preventable basis.

The Root Causes

Known. Structural. Companywide.

The Fixes

Concrete. Data-backed. Executable now.

The Cost of Inaction

₹1.5–1.75 Cr/month in recoverable revenue lost

The question is not *whether* to act — it is *how fast*. **Begin with Recommendations 1 and 2 this week.** The data supports it. The business demands it.